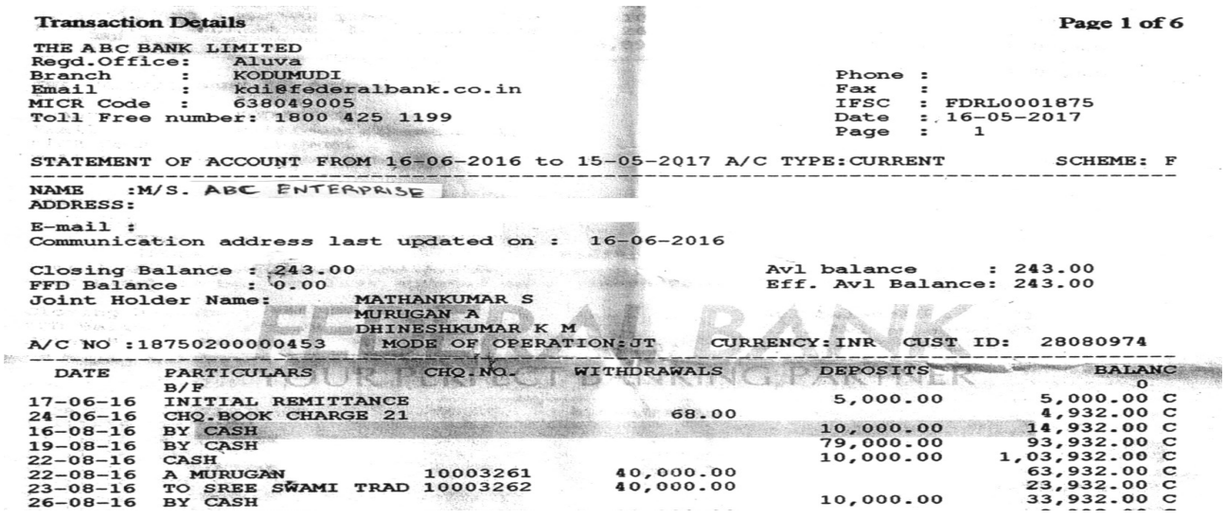


Transaction Details Page 1 of 6

THE ABC BANK LIMITED
Regd.Office: Aluva
Branch : KODUMUDI
Email : kdi@federalbank.co.in
MICR Code : 638049005
Toll Free number: 1800 425 1199

Phone :
Fax :
IFSC : FDRL0001875
Date : 16-05-2017
Page : 1

STATEMENT OF ACCOUNT FROM 16-06-2016 to 15-05-2017 A/C TYPE:CURRENT SCHEME: F

NAME :M/S. ABC ENTERPRISE
ADDRESS:

E-mail :
Communication address last updated on : 16-06-2016

Closing Balance : 243.00
FFD Balance : 0.00
Joint Holder Name: MATHANKUMAR S
MURUGAN A
DHINESHKUMAR K M

Avl balance : 243.00
Eff. Avl Balance: 243.00

A/C NO :18750200000453 MODE OF OPERATION:JT CURRENCY:INR CUST ID: 28080974

DATE	PARTICULARS	CHQ.NO.	WITHDRAWALS	DEPOSITS	BALANC
	B/F				0
17-06-16	INITIAL REMITTANCE			5,000.00	5,000.00 C
24-06-16	CHQ.BOOK CHARGE 21		68.00		4,932.00 C
16-08-16	BY CASH			10,000.00	14,932.00 C
19-08-16	BY CASH			79,000.00	93,932.00 C
22-08-16	CASH			10,000.00	1,03,932.00 C
22-08-16	A MURUGAN	10003261	40,000.00		63,932.00 C
23-08-16	TO SREE SWAMI TRAD	10003262	40,000.00		23,932.00 C
26-08-16	BY CASH			10,000.00	33,932.00 C

Specimen of E-Statement

Student activity

Think: Observe the above format. Why the withdrawals are shown as debit and deposits are shown as credit in a bank statement? [Remember: in the cash book it is the reverse]

When the entries in the bank statement are compared with the cash book, it will be found that the accounting treatment is reverse in the cash book. This is because the cash book is prepared from the point of view of business, whereas the bank statement is prepared from the bank's point of view.

Following the double entry system, the credit balance in the bank pass book represents the debit balance as per the cash book and vice-versa. This is because, bank is a debtor for the business and business unit (customer to the bank) is a creditor for the bank when there is a favourable balance in the bank. When money is deposited by the business into the bank, customers account is credited in the bank's book, as this is the amount owed by the bank to its customer. Similarly, when the money is withdrawn or taken out of the bank by the business, customer's account is debited as this decreases the amount owed by the bank to the customer. As a result of this, favourable balance, as per bank statement (bank pass book), will appear as a credit balance and overdrawn balance as a debit balance.

8.1.2 Bank overdraft

It is not possible to have unfavourable cash balance in the cash book. But, it is possible to have unfavourable balance in the bank account. When the business is not having sufficient money in its bank account, it can borrow money from the bank. As a result of this, amount is overdrawn from bank.

Record	Debit balance	Credit balance
Bank statement	Overdraft (negative balance)	Favourable balance (positive balance)
Cash book	Favourable balance (positive balance)	Overdraft (negative balance)

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